

HDFC Life Click 2 Wealth ULIP Plan

1. What is a ULIP?

A Unit Linked Insurance Plan (ULIP) is a life insurance product that provides both insurance coverage and investment opportunity. Part of your premium goes toward life insurance, and the remaining is invested in equity, debt, or balanced funds based on your choice.

HDFC Life Click 2 Wealth is an online ULIP offering flexibility in fund choices, premium payment, and withdrawals.

2. Key Features

- Choice of 8+ investment funds
- Unlimited free switches between funds
- Loyalty additions from 6th year onwards
- Partial withdrawals allowed after 5 years
- Return of mortality charges on maturity
- Zero premium allocation charges
- Life cover: 10x Annual Premium

3. Fund Options

Fund Name	Asset Allocation	Risk Profile	Historical Return (5yr)
Opportunities Fund	80-100% Equity	Very High	14.2%
Blue Chip Fund	80-100% Large Cap	High	12.8%
Balanced Advantage	40-60% Equity	Medium	10.5%
Bond Fund	80-100% Debt	Low	7.2%
Liquid Fund	Money Market	Very Low	5.8%

4. Charges Structure

Charge Type	Year 1	Year 2-5	Year 6+
Premium Allocation	0%	0%	0%
Policy Admin Charge	Rs. 500/yr	Rs. 500/yr	Rs. 500/yr
Fund Management	1.35%	1.35%	1.35%
Mortality Charge	Age-based	Age-based	Returned at maturity
Switching Charge	Free	Free	Free

5. ULIP vs Mutual Fund vs Term+MF

Factor	ULIP	Mutual Fund	Term + MF
Tax on Returns	Exempt (u/s 10D)	LTCG 10%	LTCG 10%
Lock-in	5 years	ELSS: 3 years	None
Insurance	Yes	No	Yes (separate)
Charges	Higher	Lower	Lowest overall
Flexibility	Medium	High	High

6. Who Should Buy a ULIP?

ULIPs are suitable for:

- Investors with a long-term horizon (10+ years)
- People wanting insurance + investment in one product
- Those in the 30% tax bracket wanting tax-free returns
- Investors comfortable with market-linked returns

NOT suitable for:

- Those needing pure protection (buy Term instead)
- Short-term investors (5-7 years)
- Those who want maximum returns (Pure MF better)